
ECONOMICS

0455/11

Paper 1 Multiple Choice

Predicted Hard

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks.

Mark schemes should be read in conjunction with the question paper.

This predicted-paper mark scheme has been written to closely reflect the marking conventions used by Cambridge Assessment International Education for the Cambridge IGCSE™ Economics (0455) syllabus.

This document consists of 3 printed pages.

PUBLISHED

Question	Answer	Marks
1	C	1
2	A	1
3	C	1
4	C	1
5	B	1
6	C	1
7	B	1
8	B	1
9	B	1
10	C	1
11	C	1
12	B	1
13	B	1
14	B	1
15	C	1
16	C	1
17	A	1
18	B	1
19	B	1
20	C	1
21	B	1
22	A	1
23	B	1
24	B	1
25	B	1
26	C	1
27	B	1
28	B	1
29	C	1

Examiner guidance

The following notes explain the economic reasoning behind each correct answer.

Q	Rationale
1	More capital goods raise productive capacity and shift the PPC outwards over time.
2	Capital-interest, enterprise-profit, land-rent, labour-wages.
3	$100 \div 40 = 2.5$ units of X per unit of Y.
4	$\% \Delta Q = 20\%$; $\% \Delta P = 10\%$; $PED = 20 \div 10 = 2.0$.
5	With elastic demand, a price rise causes quantity demanded to fall proportionately more, so TR falls.
6	Higher costs shift supply left, raising price and reducing quantity.
7	Inelastic demand $\rightarrow$ quantity falls only a little, so tax revenue rises.
8	External cost added to private cost $\rightarrow$ social cost $>$ private cost.
9	Minimum price $>$ equilibrium $\rightarrow$ supply exceeds demand $\rightarrow$ surplus.
10	A scrappage scheme for petrol cars shifts demand toward electric substitutes.
11	$ATC = (2000 + 3000) / 500 = 10$.
12	More training places increases supply of qualified nurses.
13	Lower income tax raises disposable income, part of which is saved.
14	Horizontal integration is between firms at the same stage of the same industry.
15	Communication problems within a large firm are internal diseconomies.
16	Contractionary fiscal policy reduces AD via lower G and higher T.
17	$(126 - 120) / 120 \times 100 = 5\%$.
18	Cyclical unemployment is caused by low AD; expansionary fiscal policy increases AD.
19	A progressive tax takes a larger percentage from higher incomes.
20	Training raises productivity and therefore long-run aggregate supply.
21	HDI combines income (GNI per capita), life expectancy and education.
22	$(30 - 10) \text{ per } 1\,000 = 20 \text{ per } 1\,000 = 2\%$.
23	Higher real wages for low-income workers raise purchasing power above poverty line.
24	More retirees and fewer workers increase the dependency ratio.
25	Development includes welfare indicators (health, education, equality), not only GDP.
26	A tariff raises the import price and so reduces quantity imported.
27	Appreciation makes exports more expensive and imports cheaper $\rightarrow$ worsens trade balance.

- 28 $(400 - 350) + (100 - 120) = 50 - 20 = \30m surplus.
- 29 Profit repatriation reduces national income in the host country.
- 30 Removing tariffs within the area lowers prices and widens choice.